

Blockchain Technology *and* Data Security: What You Need to Know

Bitcoin and other blockchain technologies have received a lot of media attention over the past year. These technologies, aimed at disrupting traditional financial setups, have the potential to change the way we look at money. But how secure are these new technologies?



At a time when data privacy is becoming increasingly important, you need to be sure that your personal information is being handled correctly.

There have been a number of high-profile hacks into cryptocurrency trading sites, leading to the loss of millions of dollars. Is this a reflection of the tech at the heart of the systems? In this article, we'll examine what blockchain and cryptocurrencies are, and whether they are secure.

Blockchain and cryptocurrency explained

These two words are often misused or used interchangeably. Although the detailed workings of each can be somewhat difficult to grasp, the concepts themselves aren't. I've defined each term below.

- **Blockchain:** This is a system that was initially developed as an accounting tool for the digital currency, Bitcoin. Simply put, it's a public ledger of all of the transactions

carried out using Bitcoin, or other digital currencies. You'll often hear the word 'decentralised' associated with blockchain. Although there are many meanings to this term, in this case it means that no one body controls it, and that there is no central point in the infrastructure. The blockchain grows as more transactions are added (in chronological order). It uses a distributed ledger, which means that it is shared and synced across a broad network.

- **Cryptocurrency:** Often, the terms 'cryptocurrency' and 'Bitcoin' are used interchangeably. This is incorrect. Bitcoin is a type of cryptocurrency. Though admittedly, it was the first of its kind. A cryptocurrency is a digital currency that uses cryptography as a means of security. This means that the information associated with the currency is encrypted. These currencies are not issued by a central government and are used to facilitate the transfer of funds between two parties.